

Direct-to-Consumer Market and Go-To-Market Report

Summary of the full 66-page report (17 sections) · 28 September 2026 · Internal use only

The big idea: Rising ad costs mean online brands now barely break even, or lose money, on a customer's first order. The profit comes from repeat orders, and email is the cheapest way to win them. GrowMails helps Shopify and Klaviyo brands earn that repeat revenue and makes sure their emails actually reach the inbox.

Ascent: \$5,000 one time. Repairs a brand's email delivery: security settings, list cleaning, removing fake sign-ups and fixing spam placement. For brands making \$1M to \$50M+ a year.	Lhotse: \$3,000 to \$5,500 a month. Runs the brand's whole email and SMS program in three packages (Core, Growth, Scale). For brands making \$3M to \$20M a year.
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#	Topic	What the report says
THE MARKET, THE CLIENT AND THEIR MONEY		
1	Types of online stores	Target direct-to-consumer (DTC) brands : they make or own their products and sell mainly on their own website, so they own their customer list. Skip Amazon-only sellers, dropshippers and print-on-demand. Judge every brand by its own-website revenue only.
2	Ad costs vs. profit	US online sales hit \$340.2B in Q2 2026, but Meta ad prices rose 12% in a year . At that pace a clothing brand's first order (\$5.62 profit today) becomes a loss within two years. Repeat orders are where the profit is.
3	Reading a store's tech	The apps on a website reveal a brand's size and problems. Shopify + Klaviyo is required ; Attentive, Northbeam or ReCharge signal a bigger budget. Each prospect gets a Lhotse Fit Score and an Ascent Urgency Score (out of 100) that decide what to pitch first.
4	The perfect client	Shopify or Shopify Plus, Klaviyo, own products, sells on its own site, based in the US, UK, Canada, Australia, Ireland or NZ. Best in beauty, supplements, food and drink, and pet . Lhotse minimums: \$3M (beauty, supplements), \$4M (pet), \$5M (food).
5	Market size	About 4,500 qualified brands in six countries: US ~2,955, UK ~643, Canada ~389, Australia ~380, NZ ~60, Ireland ~51. Worth about \$230M a year at our average fee; winning well under 1% is enough. Filter out fake US addresses used by overseas founders.
6	Who makes the decision	Under \$5M the founder signs. From \$5M to \$20M a marketing leader signs; above \$20M finance reviews too. Lhotse competes with a first email hire (\$85k to \$135k a year fully loaded), usually at \$3M to \$8M revenue.
7	Profit by product type	First orders lose money or barely break even (supplements ~\$3.48, food ~\$11.49, pet ~\$10.29). Repeat orders earn \$17 to \$47 each . Beauty and supplements pay back fastest. Habitual discounts in every email can wipe out a third of profit per sale.
8	The cash cycle	Brands pay for holiday stock in summer, so cash is tightest in August and September and most available in January and February . Sell Lhotse when budgets reset, sell quick Ascent fixes when pressure is high, and never pitch a retainer just before Black Friday.
MAKING EMAIL WORK		
9	Measuring email	Ignore open rates: Apple opens emails automatically. Track clicks, orders, revenue per email and holdout tests (holding back 10% of subscribers to prove email caused the sales). Healthy brands earn 20% to 30% of website revenue from email; under 8% means no real program.
10	Automated vs. campaigns	Automated sequences (welcome, abandoned cart, post-purchase) make about 41% of email revenue from 5% of sends , at nearly 18 times the revenue per email. Campaigns still bring most revenue, so a good program needs both.
11	Keeping the list clean	Klaviyo bills by active subscribers, so inactive and bot sign-ups cost twice: on the bill and in worse inbox delivery. Engagement tiers, a sunset sequence (a final "still want to hear from us?" series) and bot protection fix a rising bill with flat revenue.
12	Email security settings	Gmail, Yahoo and Microsoft require SPF, DKIM and DMARC from bulk senders and reject mail that fails. A monitoring-only DMARC record meets the rules; stricter settings come step by step. A missing or duplicate DMARC record is the most common audit finding .
13	Testing inbox delivery	Test inboxes show how a stranger is treated; Google Postmaster Tools shows real customers. Average inbox rate is already 83.5%, so Ascent is judged on a scorecard: 98%+ DMARC pass, Gmail spam below 0.1%, bounces below 1% . A new sending domain needs about 10 weeks of warm-up.
WHEN AND HOW TO SELL		
14	Holiday calendar	Black Friday is 27 November 2026 in all six markets, and setups lock in early October. Local peaks matter too: Boxing Day, Mothering Sunday (UK, Ireland), Australia's June sales. In 2025 the US peak grew while the UK, Canada and NZ were flat or down.
15	When to pitch	Best Lhotse windows: January to February and June to mid-September . From mid-October to year-end, sell only safe Ascent fixes and book January starts. The next Lhotse window opens 4 January 2027 .
16	Email laws by country	Cold business email is easiest in the US (opt-out rules), restricted in the UK, strict in Canada (CASL) and Ireland, and consent-based in Australia and NZ. Cold texts are banned everywhere . Always identify yourself, add an address and unsubscribe link, record contact sources and never buy lists.
17	Finding and closing clients	Build a scored prospect list, run a 15-minute outside audit (no login needed), send one free fix in a 90-second personal video , then build a financial model from the brand's own numbers on the discovery call before proposing Ascent or Lhotse.

WHAT TO DO NOW (AS OF 28 SEPTEMBER 2026)	
1.	Sell Ascent quick fixes on the current sending domain until about 16 October , when Black Friday setups freeze.
2.	Book Lhotse conversations for January 2027 starts; do not pitch retainers during peak season.
3.	Lead free audits with the strongest findings: DMARC gaps, the shared Klaviyo domain, Microsoft spam placement .
4.	Stop any fake "warm-up" tools on GrowMails' own outreach domains (new Heatwave blocklist risk).
5.	Prove results with holdout tests and revenue per email , never open rates.